ID: _____

Name: _____

AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ECO101

Principles of Microeconomics

Mid-Term Assessment (MTA) Examination / Version B

2024-2025 / Summer

2-Aug-2025

umber of Exam Pages: 6 luding this cover sheet)	**Time Allowed:** 1.5 hours

tructions:

e **FIVE (5)** minutes to read all instructions carefully before attempting to write.
bile phones must be in "SWITCHED **OFF**" mode throughout the examination.
s is a **CLOSED** book examination. NO documents of any kind are allowed.
MUST answer the questions using only the answer booklets provided
MUST return the examination paper together with your answer booklets.
NOT write your answers in pencil except graphs/sketches
lents are **NOT** allowed to use any type of dictionary or mobile phones during the examinat
ents are allowed to use ***non-programmable*** calculators only (if needed).
form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question One (7.5 Points):

Select the correct answer and **write** it in the space provided. (1.5 points for each question).

Q1:
1.
2.
3.
4.
5.

1. At equilibrium, the quantity of a good that producers are willing to sell is:

A) Greater than the quantity that consumers are willing to buy.
B) Equal to the quantity that consumers are willing to buy.
C) Less than the quantity that consumers are willing to buy.
D) None of the above.

2. When demand increases while supply remains constant, what happens to the equilibrium price?

A) It increases.
B) It remains the same
C) It decreases.
D) It becomes unpredictable.

3. Over the past decade technological improvements that have lowered the cost of producing an automobile have increased

A) both the supply and the demand for automobiles.
B) the supply but not the demand for automobiles.
C) the demand but not the supply of automobiles.
D) neither the supply nor the demand for automobiles.

4. Consumers expect that the price of laptops will increase next month due to increase in labor wages. As a result:

A) today's demand for laptops increases.
B) today's demand for laptops decreases.
C) next month's supply of laptops decreases.
D) the price of laptops rises today.

5. Normative statements are statements about

A) prices.
B) quantities.
C) what is.
D) what ought to be.

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QUESTION TWO (7.5 Points):

Write the definition of the following: (2.5 points for each definition)

A. Economics:

B. Positive statements:

C. Law of supply:

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QUESTION THREE (7.5 Points):

A. Describe the two effects that explain why a change in price leads to a change in the quantity demanded. (4 points)

B. Briefly explain the concept of a trade-off in economics. What does it mean and provide a proper example. (3.5 points)

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QUESTION FOUR (7.5 Points):

A. Explain what happens in the market when there is a **decrease in demand**. In your answer, describe the change to the demand curve and predict how price and quantity will be affected (3 points).

B. Based on your explanation in Part A, draw a graph to illustrate how a decrease in the demand affects the market. Use the graph to support your explanation of any changes to the equilibrium. (4.5 points)

END OF THE EXAM

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